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Illustration 7

Find out the amount of sales from the following information.

Particulars	`
Opening stock	20,000
Purchases less returns	70,000
Direct expenses	10,000
Closing stock	30,000
Gross profit margin (on sales)	20%

Solution

Cost of goods sold = Opening stock + Net purchases + Direct expenses – Closing stock
= 20,000 + 70,000 + 10,000–30,000
= ` 70,000

Let the sales be	100
Less: Gross profit (20% on sales, i.e., 100)	20
Cost of goods sold	80

Therefore, percentage of Gross profit on Cost of goods sold is $\frac{20}{80}$ x 100 = 25 %

Gross profit = 25 % on ` 70,000 i.e: $\frac{25}{100}$ x 70,000 = ` 17,500

Sales = Cost of goods sold + Gross profit
= 70,000 + 17,500 = ` 87,500



When gross profit is 25% on cost, it is 20% on sales
When gross profit is 33 $\frac{1}{3}$ % on cost, it is 25% on sales

12.4 Profit and loss account

Profit and loss account is the second part of income statement. It is a nominal account in nature. A business entity is interested in knowing not only the gross profit or loss but also the net profit earned or net loss incurred during the year. Hence, profit and loss account is prepared to ascertain the net profit or net loss during the year. Profit and loss account contains all the items of indirect expenses and losses and indirect incomes and gains in addition to gross profit or gross loss pertaining to the accounting period. The difference is net profit or net loss. According to Prof. Carter, "A Profit and Loss Account is an account into which all gains and losses are collected, in order to ascertain the excess of gains over the losses or vice-versa".